Consumer Behaviour

Detailed Study Notes

Module 4

Consumer Needs, Motivation, Personality, Perception and Learning

Course Faculty

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Compiled by

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Topics covered in this module

1. **Motivation**: needs, goals, motive arousal; Maslow, Alderfer (ERG), Herzberg, McClelland, McGregor, Vroom, Porter, Freud
2. **Personality**: meaning, determinants, six theories, measurement, development
3. **Perception**: process, elements, sensory dynamics, barriers, price, risk, advertising, perceptual mapping, subliminal perception, imagery
4. **Learning**: behavioural, cognitive, social and constructivist theories; link with consumer behaviour

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1 Consumer Needs and Motivation

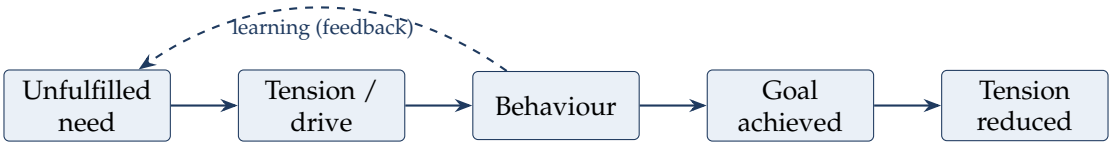
1.1 Introduction

Every purchase starts with a reason. **Needs** and **motivation** explain *why* consumers buy. This section covers needs, goals, how motives are aroused, and the main theories of motivation.

Motivation

Motivation is the **driving force within individuals** that impels them to action. The force arises from a state of tension caused by an unfulfilled need. The individual then tries, consciously or unconsciously, to reduce that tension through behaviour that is expected to satisfy the need.

1.2 The Motivation Process



1.3 Needs

Need

A need is a **felt state of deprivation**: the gap between the actual state and the desired state. A **want** is the particular form a need takes, shaped by culture, personality and learning (hunger is a need; a plate of biryani is a want). A **demand** is a want backed by purchasing power.

Types of needs

Type	Meaning	Examples
Biological (innate, primary)	Needed to sustain life; inborn	Food, water, air, sleep, shelter
Psychogenic (acquired, secondary)	Learned from culture and environment	Status, power, affiliation, achievement, self-esteem
Utilitarian needs	Need for practical, functional benefit	Fuel economy of a bike, durability of shoes
Hedonic (experiential) needs	Need for pleasure, fun, emotion	A luxury watch, a theme-park visit
Stated needs	What the consumer says	"I want a cheap phone"
Real needs	What the consumer actually wants	"I want a phone that is cheap to run"
Unstated and delight needs	Not expressed, but pleasing when found	Free service, a surprise feature

Characteristics of needs: they are never fully satisfied; new needs appear when old ones are met; several needs act at once; needs change with age, income and situation.

1.4 Goals

Goal

A goal is the **sought-after result** of motivated behaviour: the object, product or condition that the consumer believes will satisfy the need.

- **Generic goals**: the general category of product that satisfies a need ("a bike").
- **Product-specific goals**: the specific brand or item ("a Hero Splendor").
- **Positive (approach) goals**: things the consumer seeks.
- **Negative (avoidance) goals**: things the consumer wants to avoid (sweat, bad breath, dandruff).

Selection of goals depends on personal experience, physical capacity, cultural norms, accessibility of the goal, and the person's self-image and values.

Interdependence of needs and goals. Needs and goals depend on each other. Goals are chosen to fulfil needs, and as goals are reached, *new needs and higher goals* appear. A person who has bought a basic phone aims next for a better one. **Substitute goals** are chosen when the original goal cannot be reached.

Frustration and Defence Mechanisms

When a goal cannot be reached, the consumer feels **frustration**, and may respond with defence mechanisms:

- **Aggression**: lashing out at the cause (an angry review of a brand).
- **Rationalisation**: giving a socially acceptable reason ("I did not want that phone anyway").
- **Regression**: behaving in a childish way.
- **Withdrawal**: giving up and leaving the situation.
- **Projection**: blaming others for one's own failures.
- **Autism (daydreaming)**: escaping into fantasy.
- **Identification**: copying someone successful (buying the products of a hero).
- **Repression**: pushing the unmet need out of conscious mind.

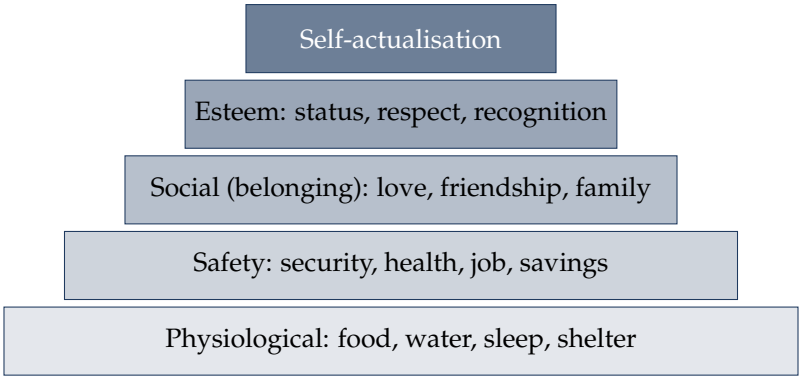
1.5 Arousal of Motives

Motives are switched on by internal and external stimuli:

Source	Meaning	Example
Physiological arousal	Bodily needs create tension	Hunger leads to buying snacks
Emotional arousal	Feelings of boredom, anxiety, loneliness	Shopping to cheer up
Cognitive arousal	Random thoughts or memories trigger a need	Remembering a friend's holiday
Environmental arousal	Cues in the surroundings	Smell of food, store display, ad, festival

1.6 Maslow's Hierarchy of Needs

Abraham Maslow proposed that human needs are arranged in a **hierarchy of five levels**. A lower need must be fairly satisfied before the next higher need becomes a strong motivator. A satisfied need no longer motivates.



Level	Need	Marketing examples and appeals
Physiological	Survival	Food, water, medicines; "fresh, nutritious, affordable"
Safety	Security, stability	Insurance, banks, locks, safe cars; "protect your family"
Social	Belonging, affection	Social media, gifts, dating apps, clubs; "stay connected"
Esteem	Prestige, recognition	Luxury cars, branded watches; "be admired"
Self-actualisation	Fulfilment of potential	Education, adventure travel, art; "be all you can be"

Evaluation. *Strengths:* simple, widely applicable, helps segmentation and appeals. *Limitations:* the order is not the same for everyone or every culture; some people sacrifice lower needs for higher ones; hard to test; a single product may satisfy several levels at once (a car gives safety and status).

1.7 Alderfer's ERG Theory

Clayton Alderfer reduced Maslow's five levels to **three**:

Need	Meaning	Maslow's equivalent
Existence	Physical and material survival	Physiological and safety
Relatedness	Relationships with others	Social and external esteem
Growth	Personal development and creativity	Self-esteem and self-actualisation

Key differences from Maslow

- More than one need can operate **at the same time**; there is no strict ladder.
- **Frustration–regression principle**: if a higher need is blocked, the person returns to a lower need and wants more of it.
- **Satisfaction–progression**: satisfying one level moves attention to the next.
- Needs may move up or down depending on circumstances.

Marketing view: a consumer blocked from higher goals (a status car) may spend more on lower ones (comfort, food, entertainment).

1.8 Herzberg's Motivation–Hygiene (Two-Factor) Theory

Frederick Herzberg found that factors causing *satisfaction* are different from those causing *dissatisfaction*.

	Hygiene factors	**Motivators**
Effect	Prevent dissatisfaction, but do not by themselves motivate	Create real satisfaction and motivation
Original examples (at work)	Pay, company policy, supervision, working conditions, job security, relationships	Achievement, recognition, work itself, responsibility, advancement, growth
Consumer examples	Basic quality, safe product, fair price, working warranty	Delight features, innovation, brand experience, personal recognition

Marketing view: meeting basic expectations (hygiene) only avoids complaints; to win loyalty, marketers must add *motivators* that delight.

1.9 McClelland's Achievement Motivation Theory

David McClelland said people acquire three main needs from experience:

- **Need for achievement (nAch)**: desire to excel and reach challenging goals. Such consumers like products that signal success, innovation, performance and feedback (fitness trackers, learning apps).
- **Need for power (nPow)**: desire to influence and control others. Such consumers like products that show status and authority (luxury cars, prestige brands).
- **Need for affiliation (nAff)**: desire for friendly relationships and acceptance. Such consumers like products that build bonds (social media, gifts, group activities).

These are *learned* needs and the mix differs from person to person. **Marketing use:** choose appeals that match the dominant need of the target group.

1.10 McGregor's Theory X and Theory Y

Douglas McGregor described two sets of assumptions about people. It was developed for **managing employees**, and it is also useful for motivating a sales force and as a simple lens on consumer attitudes.

	Theory X	**Theory Y**
View of people	Dislike work, avoid responsibility, need control	Enjoy work, seek responsibility, self-directed
Motivation by	Money, rules, supervision, fear of penalty	Responsibility, recognition, participation, growth
Style	Authoritarian	Participative
Marketing application	Sales staff on strict targets and commissions; consumers who respond to offers and strong persuasion	Empowered, creative sales staff; consumers who research and decide for themselves

1.11 Vroom's Expectancy Theory

Victor Vroom said that people are motivated to act when they believe effort will lead to performance and performance to a valued reward.

Formula

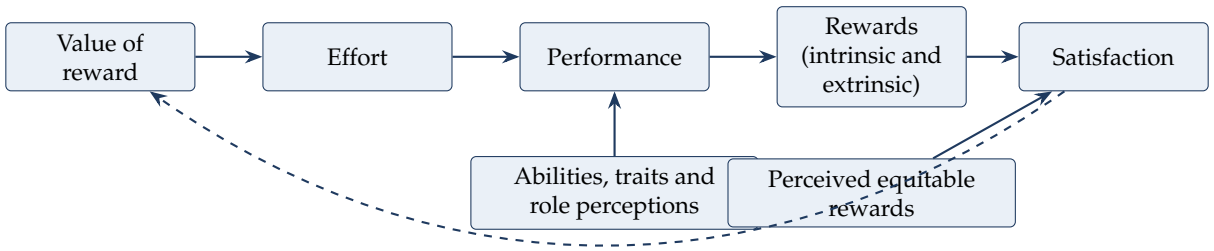
Motivation (force) = Valence × Expectancy × Instrumentality

- **Valence (V)**: how much the person values the outcome or reward.
- **Expectancy (E)**: belief that effort will lead to the desired performance ("If I try, I can do it").
- **Instrumentality (I)**: belief that performance will lead to the reward ("If I perform, I will get the reward").

Because the three are multiplied, *if any one is zero, motivation is zero*. **Consumer example:** a customer joins a loyalty scheme only if the reward is valued, the points are reachable, and the reward is believed to be really delivered.

1.12 Porter–Lawler Expectancy Model

Porter and Lawler extended Vroom's model and argued that **performance leads to satisfaction** (not the other way round).



- **Effort** depends on the value of the reward and the perceived chance of getting it.
- **Performance** depends on effort, *abilities and traits*, and *role perception*.
- **Rewards** may be intrinsic (sense of achievement) or extrinsic (money, praise).
- **Satisfaction** depends on whether the rewards are seen as *fair*.
- Satisfaction feeds back and affects the value placed on future rewards.

Marketing view: satisfied performers repeat behaviour; satisfied consumers repeat purchase. Rewards must be fair and visible.

1.13 Freud's Theory of Motivation

Sigmund Freud believed that much of human behaviour is driven by **unconscious motives**, and that people are often unaware of their real reasons for acting.

- **Id**: instinctive, pleasure-seeking urges.
- **Superego**: conscience; social and moral rules.
- **Ego**: the rational mind that balances the id and superego.

Implications for marketing

- Consumers may not be able to explain real reasons for buying; products and brands have **symbolic meanings**.
- Basis of **motivational research**: depth interviews, projective tests, word association.
- Appeals often hint at hidden desires (status, attraction, security).

Criticism: hard to test scientifically, interpretations are subjective, and it stresses sexual and aggressive drives too much.

1.14 Comparison of Motivation Theories

Theory	Main idea	Marketing implication
Maslow	Five-level hierarchy of needs	Match appeals to level of need
Alderfer ERG	Three needs, no strict order, regression possible	Consumers may fall back to lower needs when blocked
Herzberg	Hygiene vs. motivators	Basics prevent complaints; delighters create loyalty
McClelland	Achievement, power, affiliation	Segment by dominant learned need
McGregor X/Y	Two views of human nature	Sales force management; consumer types
Vroom	Valence $\times$ expectancy $\times$ instrumentality	Design credible and valued rewards
Porter–Lawler	Performance leads to satisfaction; fair rewards	Fair loyalty programmes; repeat behaviour
Freud	Unconscious drives; id, ego, superego	Symbolism; motivational research

1.15 Motivational Conflict and Marketing Use

- **Approach–approach**: two attractive choices (a holiday or a new phone). *Response:* bundle or offer easy credit.
- **Approach–avoidance**: one choice has both good and bad features (tasty but fattening). *Response:* reduce the negative ("low-fat").
- **Avoidance–avoidance**: two unpleasant choices (repair or replace). *Response:* warranties and trade-in offers.

Exam Tip

For a 15-mark answer, name the theory, explain it in three or four lines, draw the figure (hierarchy or model), and give a marketing example for each.

2 Personality

2.1 Meaning and Concept of Personality

Personality

Personality is the **dynamic organisation within the individual of those psychological characteristics** that determine and reflect how the person responds to the environment. It makes each person unique, and it is relatively consistent and enduring.

Nature and concept

- Personality reflects **individual differences**: no two people are exactly alike.
- It is **consistent and enduring**, which allows us to predict behaviour.
- It **can change** slowly, or suddenly after major life events (marriage, a job change, a loss).
- It includes **inner traits** (such as confidence) and **outward behaviour**.
- It is a result of **nature (heredity) and nurture (environment)**.
- It affects **what, why, when and how** a person buys.

2.2 Determinants of Personality

Determinant	Influence on personality
Heredity (biological)	Genes shape physical features, temperament, intelligence and energy level
Physique and brain	Height, appearance, health and brain functioning affect self-image and behaviour
Family and early childhood	Parents' attitudes, child-rearing style, siblings, birth order and home atmosphere shape basic traits and values
Culture	Values, beliefs, norms and customs a person grows up with
Social environment	Friends, peer groups, school, workplace, religion and social class
Situation	Particular events and circumstances can bring out different behaviour (a calm person may panic in an emergency)
Experiences and learning	Successes, failures and major life events

2.3 Theories of Personality

1. Self-Concept Theory

Self-concept (self-image) is the *totality of thoughts and feelings a person has about himself or herself*. People tend to buy products that fit the way they see themselves or want to be seen.

- **Actual self**: how I see myself now.
- **Ideal self**: how I would like to be.
- **Social self**: how I think others see me.
- **Ideal social self**: how I would like others to see me.
- **Extended self (Belk)**: possessions that become part of a person's identity (a car, a phone, a home).

Marketing use: brand personality matching (self-congruity), aspirational advertising, positioning products as identity statements.

2. Psychoanalytic Theory (Freud)

Personality arises from conflict among the **id, ego and superego**, and is shaped by unconscious drives and early childhood. Freud described **psychosexual stages**: oral, anal, phallic, latency and genital.

- **Marketing use:** products and ads carry hidden symbolic meaning; motivational research and projective techniques; appeals to unconscious desires.
- **Criticism:** unscientific, hard to prove, ignores social influences.

3. Neo-Freudian Theory

Followers of Freud (Adler, Horney, Sullivan, Jung, Erikson) agreed on the importance of the unconscious but argued that **social relationships** are central to personality.

- **Alfred Adler**: people strive to overcome feelings of inferiority.
- **Harry Stack Sullivan**: people seek relationships that reduce tension.
- **Karen Horney** grouped people by how they relate to others:
  - *Compliant*: move toward others; want love and acceptance (prefer well-known brands, health and grooming products).
  - *Aggressive*: move against others; want success and admiration (prefer status and masculine products).
  - *Detached*: move away from others; want independence (prefer unique, non-conformist products).
- **Carl Jung**: collective unconscious and archetypes; the idea is used in brand storytelling.

4. Trait Theory

Personality is made of a set of **measurable traits**: enduring characteristics on which people differ.

- **Allport**: cardinal, central and secondary traits.
- **Cattell**: 16 source traits.
- **Eysenck**: extraversion–introversion and neuroticism–stability.
- **Big Five (OCEAN)**: **O**penness, **C**onscientiousness, **E**xtraversion, **A**greeableness, **N**euroticism.

Consumer-related traits: innovativeness, dogmatism, social character (inner- or other-directed), need for cognition, optimum stimulation level, materialism, variety seeking, ethnocentrism, need for uniqueness.

Use: segmenting by personality traits (innovators vs. laggards). **Criticism:** traits predict broad behaviour but only weakly predict specific brand choices.

5. Humanistic Theory

Humanistic psychologists (Carl Rogers, Abraham Maslow) emphasise **free will, personal growth and the person's own view of the world**.

- People are basically good and strive for **self-actualisation**.
- Personality develops through **self-concept** and the gap between the real and ideal self.
- Focus is on the **present and the future**, not on childhood.
- **Marketing use:** appeals to growth, creativity and fulfilment; brands that help people "become their best".

6. Social-Cognitive Theory

Albert Bandura and Walter Mischel argued that personality results from the **continuous interaction between the person, behaviour and environment** (reciprocal determinism).

- People learn by **observing others** and the results of their actions.
- **Self-efficacy**: belief in one's own ability to succeed influences choices and persistence.
- Behaviour depends on both **personal factors and the situation**.
- **Marketing use:** role models and celebrities in advertising; messages that build confidence ("you can do it").

Theory	Main idea	Key names	Focus
Self-concept	Buy to match self-image	Belk, Rogers	Identity
Psychoanalytic	Unconscious drives	Freud	Hidden motives
Neo-Freudian	Social relationships	Horney, Adler, Jung	Social needs
Trait	Measurable traits	Allport, Cattell, Big Five	Differences
Humanistic	Growth and free will	Rogers, Maslow	Self-actualisation
Social-cognitive	Person–situation interaction	Bandura, Mischel	Learning, efficacy

2.4 Measurement of Personality

Method	Description	Examples
Self-report inventories	Respondents answer structured questions or rate statements about themselves	MMPI, 16PF, Big Five (NEO) inventories, Edwards Personal Preference Schedule
Projective techniques	Respondents interpret unclear stimuli; their answers reveal hidden feelings	Rorschach inkblot test, Thematic Apperception Test (TAT), word association, sentence completion
Interviews	Structured or unstructured conversation	Clinical and depth interviews
Observation	Watching behaviour in natural or test situations	Shopping behaviour, role playing
Situational tests	Behaviour observed in constructed situations	Group tasks, stress tests
Consumer-specific scales	Measures of consumer traits	Innovativeness scales, need for cognition, Aaker's Brand Personality Scale

Issues: a good measure must be **reliable** (consistent results) and **valid** (measures what it claims). Self-reports may be biased by social desirability; projective tests are subjective and need trained interpreters.

2.5 Development of Personality

Personality develops through the interaction of heredity and environment over the life span.

- **Freud's psychosexual stages**: oral, anal, phallic, latency, genital.
- **Erikson's psychosocial stages**: trust vs. mistrust; autonomy vs. shame; initiative vs. guilt; industry vs. inferiority; identity vs. role confusion; intimacy vs. isolation; generativity vs. stagnation; integrity vs. despair.
- **Main influences**: family and parenting, school, peers, culture, media, work and life events.
- **Self-concept** is built through feedback from others and personal achievement.
- **Consumer socialisation**: children learn consumer skills and attitudes from family, friends and media, and carry them into adult life.

2.6 Personality and Marketing

- **Segmentation** by traits such as innovativeness and variety seeking.
- **Brand personality**: sincerity, excitement, competence, sophistication, ruggedness. Consumers prefer brands that match their own personality.
- **Advertising**: choose appeals to suit the personality of the target audience.
- **Product design**: different personalities prefer different styles and colours.

3 Perception: Definition and Importance

3.1 Defining Perception

Perception

Perception is the **process by which an individual selects, organises and interprets stimuli** into a meaningful and coherent picture of the world. It is how we make sense of what our senses receive.

3.2 Nature of Perception

- **Subjective**: it depends on the person, not only on the stimulus. Two people can see the same ad and perceive different messages.
- **Selective**: only a small part of the stimuli around us is noticed.
- **Organised**: the mind groups stimuli into patterns.
- **Interpretive**: meaning comes from experience, needs, beliefs and expectations.
- **Learned**: it improves with experience.
- **Continuous and dynamic**: it changes with new information and situations.

3.3 Sensation vs. Perception

Basis	Sensation	Perception
Meaning	Immediate response of sense organs to a stimulus	Giving meaning to sensations
Nature	Physical and biological	Psychological and mental
Process	First stage; simple	Second stage; complex
Depends on	Sense organs and intensity of the stimulus	Past experience, needs, expectations

3.4 Significance in Consumer Behaviour

- Consumers act on **what they perceive**, not on the objective truth.
- It decides which **ads, packs and brands get noticed**.
- It builds **brand image, quality perception and price perception**.
- It affects **risk perception** and trust.
- It is the base for **positioning** and for deciding the marketing mix.
- Explains why the **same product** can be seen as "premium" by one group and "expensive" by another.

4 The Perceptual Process



4.1 1. Exposure

Exposure occurs when a **stimulus comes within range of a person's senses**. Consumers choose what to be exposed to (**selective exposure**): they skip ads, use ad blockers, change channels. Marketers increase exposure through media planning, placement and repetition.

4.2 2. Attention

Attention is the **allocation of mental effort** to a stimulus. Attention is influenced by:

- **Stimulus factors**: size, colour, contrast, position, movement, novelty, intensity, repetition.
- **Individual factors**: needs, interests, mood, involvement, past experience.
- **Situational factors**: clutter, time pressure, surroundings.

Types of attention: *voluntary* (deliberate), *involuntary* (caught by a strong stimulus) and *habituation* (the stimulus is ignored when repeated too often).

4.3 3. Organisation

The mind organises stimuli into meaningful patterns. The **Gestalt principles** are:

- **Figure and ground**: a stimulus stands out (figure) from its background (ground). Ads should make the brand the figure.
- **Grouping**: separate items are seen as a unit (chunking phone numbers; product line display).
- **Closure**: the mind fills missing parts to make a whole (logos with a gap, incomplete slogans).
- **Similarity and proximity**: items that look alike or are close are grouped.

4.4 4. Interpretation

Interpretation is **assigning meaning** to the organised stimulus. It depends on past experience, expectations, motives and the situation. Interpretation may be distorted by **stereotyping, halo effect, first impressions, and jumping to conclusions**.

4.5 5. Retention

Retention is the **storing of the interpreted information** in memory for future use. Consumers remember mainly what supports their attitudes (**selective retention**). Repetition, emotional appeal and links with existing knowledge improve retention.

5 Elements of Perception

5.1 Sensation

Sensation is the **immediate response of the sensory receptors** (eyes, ears, nose, tongue, skin) to basic stimuli such as light, sound, smell, taste and touch. The quality of sensation depends on the **intensity** of the stimulus and on the **sensitivity** of the receptor, which varies from person to person.

Sensory adaptation (habituation): after repeated exposure, the senses become less responsive (a strong smell stops being noticed). Marketers fight adaptation by changing ads, formats and displays, and by increasing contrast.

5.2 Threshold

- **Absolute threshold**: the *minimum intensity* of a stimulus that can be detected (the faintest sound or lightest touch). **Marketing example:** how far away can a billboard be read; how small can a price change be seen.
- **Differential threshold (JND)**: the *minimum change* between two stimuli that can be noticed.
- **Weber's law**: the **stronger the initial stimulus, the greater the additional intensity needed** for the change to be noticed. As a formula, the change needed is a fixed fraction of the original level: $\Delta I / I = k$.
- **Terminal threshold**: the level beyond which more stimulus makes no difference (very loud sound becomes pain).

Use of JND	Examples
Keep changes *below* the JND	Small price rise or slight reduction in pack size so that consumers do not notice
Make changes *above* the JND	Product improvements, price cuts or logo upgrades must be big enough to be seen
Compare with competitors	A discount of Rs. 5 on a Rs. 20 item is visible; the same Rs. 5 on Rs. 2000 is not

5.3 Perceptual Biases

Perceptual biases are **systematic errors** in how people perceive and judge.

Bias	Meaning	Marketing example
Halo effect	One good trait colours the whole judgement	A great phone makes other products of that brand seem good
Stereotyping	Judging by group category	"Foreign means better", "costly means quality"
First impression (primacy)	Early information counts most	First product experience or first ad impression
Recency	Latest information counts most	Last customer service experience
Projection	Seeing one's own feelings in others	Salespeople assuming customers want what they would want
Contrast effect	A stimulus seems different when compared with another	A sale price looks better next to the original price
Confirmation bias	Seeking information that agrees with existing belief	Reading only positive reviews of a preferred brand
Selective perception	Noticing only what suits needs and beliefs	Noticing ads of a brand one just bought

6 Sensory Dynamics

Sensory marketing uses the five senses to create attention, mood and memory. Perception is strongest when several senses work together.

6.1 Sight (Vision)

Most information is received through the eyes.

- **Colour**: red (energy, excitement, urgency), blue (trust, calm), green (nature, health), yellow (cheerful, attention), black (luxury, power), white (purity, simplicity). Meanings vary across cultures (white for mourning in India).
- **Size, shape and design**: pack shape, logo, bold fonts and layout affect attention and quality image.
- **Visual merchandising**: lighting, shelf position (eye-level shelves sell more), displays.
- **Advertising**: pictures, models and visual contrast.

6.2 Sound (Hearing)

- **Jingles, slogans and sonic logos** improve recall.
- **In-store music**: slower music tends to slow shoppers down; faster music tends to quicken pace. Music matched to the brand supports its image.
- **Voice and tone** in ads and call centres affect trust.
- **Product sounds**: the click of a pen, the closing of a car door or a crunchy snack suggest quality.

6.3 Touch

- **Texture and feel** of fabric, packaging, paper and product surfaces suggest quality (soft, smooth, premium).
- **Weight** often signals solidity.
- Touching a product before buying increases the sense of ownership and the likelihood of buying (stores let customers handle goods).
- Online shopping loses touch, so firms offer easy returns and detailed descriptions.

6.4 Smell (Olfaction)

- Smell is strongly linked to **memory and emotion**.
- **Ambient scents** in stores, hotels and showrooms create mood and brand identity.
- **Product scents** (perfume, soap, new-car smell, bakery aroma) attract buyers.
- Scents must suit the product and not overpower the customer.

6.5 Taste (Gustation)

- **Sampling and tasting** give direct experience and reduce risk.
- **Flavour adaptation** to local tastes (spicy, sweet) is important.
- Taste combines with smell, texture and appearance in judging food and drink.
- Taste is used in food, beverages, oral care and confectionery.

Key Points

- **Sight**: colours, packs, displays **Sound**: jingles, music
- **Touch**: texture, weight **Smell**: scents, memories
- **Taste**: samples, flavours

7 Barriers to Accurate Perception

7.1 Selective Attention

Consumers face thousands of stimuli daily and **cannot attend to all**. They pay attention only to stimuli that match their **needs, interests and expectations**, or that are unusual. This leads to **ad avoidance** and **information overload**.

Marketer's response: use contrast, novelty, relevance, emotion, creative placement, and personalisation; reduce clutter; link messages to consumer needs.

7.2 Perceptual Defence

Perceptual defence is the tendency of people to **screen out or distort stimuli that are threatening, upsetting or against their beliefs**.

- Consumers ignore **health warnings** on tobacco or fast food.
- They avoid ads about topics they find disturbing or embarrassing.
- They may **distort** the message to fit their opinions.

Marketer's response: use softer, positive or humorous approaches for sensitive topics; use credible sources; show positive outcomes.

7.3 Other Barriers

- **Stereotypes and halo effects** (see perceptual biases).
- **Perceptual set (expectations)**: people see what they expect to see.
- **Information overload and clutter**.
- **Physical and situational limits**: noise, time pressure, poor lighting, fatigue.
- **Cultural and language differences** in interpreting symbols.
- **Habituation**: ignoring repeated stimuli.
- **Mood and emotional state** of the consumer.

8 Perception and Consumer Decision-Making

8.1 Perception of Products and Brands

- **Quality is judged using cues**:
  - *Intrinsic cues*: physical features such as taste, ingredients, size, performance.
  - *Extrinsic cues*: price, brand name, packaging, store, advertising, warranty, country of origin.
- Consumers often use **extrinsic cues** when they cannot judge quality directly ("a well-known brand must be good").
- **Brand image** builds up from experience, advertising, word of mouth and packaging.
- **Product positioning**: a brand occupies a place in the consumer's mind relative to competitors.

8.2 Perception of Price

- **Price–quality inference**: a high price is often taken as a sign of high quality, especially when quality is hard to judge.
- **Reference price**: the internal standard against which a price is judged (the "usual" price). A sale price shown beside a higher crossed-out price seems like a bargain.
- **Odd–even pricing**: Rs. 99 is perceived as clearly lower than Rs. 100.
- **Prestige pricing**: very high price used to signal status.
- **Price thresholds**: consumers have an acceptable price range; below it quality is doubted, above it the product seems too costly.
- **Perceived value**: quality and benefits compared with price.
- **Framing**: the same price seems different as "Rs. 30 a day" than "Rs. 10,950 a year".

8.3 Perception of Risk

Perceived Risk

Perceived risk is the **uncertainty consumers feel when they cannot foresee the consequences** of a purchase decision.

Types of perceived risk

Risk	Meaning	Example
Functional (performance)	Product may not work as expected	A new laptop that hangs
Financial	Loss of money	Overpaying; costly repair
Physical	Harm to health or safety	Food or medicine side effects
Social	Others may disapprove	Wearing an unfashionable brand
Psychological	Damage to self-image	Feeling foolish after a poor choice
Time (convenience)	Wasted time and effort	Long delivery or repair delay

Factors increasing perceived risk: high price, complexity, new technology, little experience, importance of the product, many alternatives, buying online.

Risk-reduction strategies of consumers: collect information, buy known brands, rely on store image, ask friends, read reviews, buy the most expensive, take a trial, buy with a guarantee.

Marketer's help: money-back guarantees, warranties, free trials and samples, demonstrations, reviews and ratings, endorsements, easy return policies, secure payment.

8.4 Perception and Advertising

- **Attention-getting**: use of bold visuals, colour, humour, celebrities, music and surprise.
- **Message design**: simple, clear and relevant messages are interpreted correctly.
- **Figure–ground and closure** help brand recognition.
- **Perceived credibility** of the endorser and medium affects acceptance.
- **Repetition** builds familiarity but too much causes wear-out.

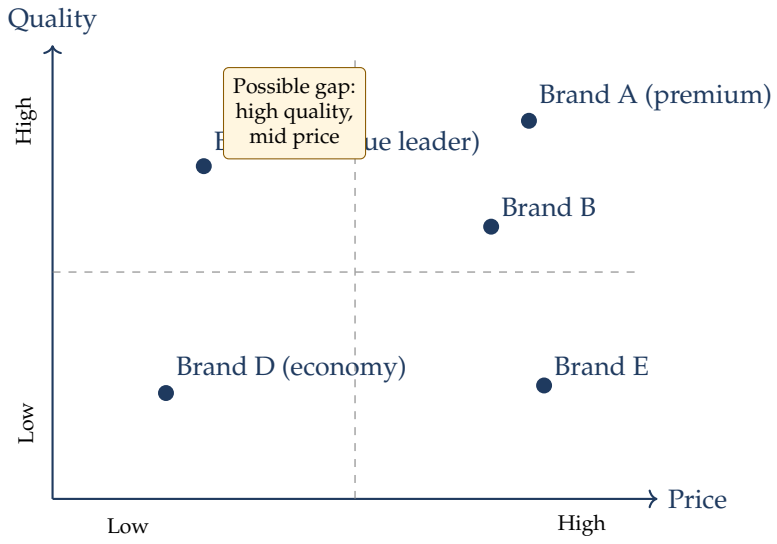
- **Cultural fit**: symbols, language and models should match the audience.
- **Clarity and honesty**: misleading ads damage trust.
- **Comparative advertising** shapes perceptions of competing brands.

9 Perceptual Mapping

Perceptual Map

A perceptual map is a **diagram that shows how consumers perceive brands relative to one another** on two (or more) important attributes. It helps firms see their brand's position, the competition, and gaps in the market.

9.1 Example (Illustrative Brands)



9.2 How a Perceptual Map Is Made

1. Identify the **attributes consumers use** to judge the category (price, quality, taste, style).
2. Collect **ratings** of brands from consumers through surveys.
3. Use statistical techniques such as **factor analysis** or **multidimensional scaling** to plot brands on a map.
4. Interpret **clusters, gaps and distances**.

9.3 Uses

- **Positioning and repositioning** a brand.
- Finding **market gaps** for new products.
- Understanding **competitors** (brands close together compete strongly).
- Evaluating the **effect of advertising** on perception.

- Checking **image versus intended position**.

10 Subliminal Perception

Subliminal Perception

Subliminal perception is the **reception of stimuli that are below the absolute threshold** of conscious awareness, such as a message flashed too quickly to be seen, or a sound too soft to be heard, yet which may still be registered by the mind.

10.1 Forms

- **Visual**: very brief flashes of words or images in films or ads.
- **Auditory**: very soft or masked messages in audio.
- **Embedded stimuli**: hidden images or words in print ads (for example, suggestive shapes in the artwork).

10.2 Evidence and Debate

- The famous 1957 cinema claim that flashing "eat popcorn" and "drink cola" raised sales was later reported to be exaggerated or made up. There is **no reliable evidence** that subliminal messages can make people buy things they do not want.
- Research suggests subliminal stimuli may have **weak, short-lived effects**, mainly when they match an existing need (for example, a thirsty person), and they cannot create new needs.
- Consumers often **believe** that advertisers use such tricks, which damages trust.

10.3 Ethics and Regulation

- Subliminal advertising is considered **unethical** because it bypasses conscious choice.
- It is **banned or restricted** by advertising codes and broadcast regulations in many countries.
- Marketers should rely on **clear, honest, above-threshold** communication.

11 Consumer Imagery

Image

An image is the **total set of perceptions, beliefs and feelings** a consumer holds about a product, brand, company, store or country. Consumers buy not only a product but also its image.

11.1 Types of Images

Image	Meaning and relevance
Product image and positioning	How the product is seen compared with others; basis of positioning
Brand image	Associations in the mind about a brand (quality, personality, values)
Product line / family image	A brand's reputation carried to all its products; helps brand extension
Price image	Whether a product or store is seen as cheap, fair or premium
Manufacturer (corporate) image	Reputation of the company: trust, ethics, innovation, social responsibility
Retail (store) image	Perception of a store through layout, assortment, service, staff, atmosphere and location
Service image	Perceived reliability, courtesy and responsiveness
Country-of-origin image	Stereotypes about the quality of goods from a country ("made in Germany" for engineering)
Self-image and user image	How consumers see themselves and the typical user of a brand

11.2 Positioning and Repositioning

- **Positioning**: creating a distinct place for the brand in the minds of target consumers on attributes that matter to them (price, quality, convenience, status).
- **Positioning bases**: attribute, benefit, user, use or occasion, competitor, quality and price, lifestyle.
- **Repositioning**: changing the image when the market, taste or competition changes.
- **Package and name** help create image.

11.3 Managing Image

1. Research the **current image** using surveys and perceptual maps.
2. Define the **desired image**.
3. Keep **consistent quality and messages** across all contacts.
4. Respond quickly to **crises** to protect image.
5. Maintain **social and ethical standards**.

12 Learning: Meaning, Definition and Concept

12.1 Meaning and Definition

Learning

Learning is the **process by which individuals acquire knowledge and experience that change their future behaviour**. In consumer behaviour, it is the process by which consumers gain purchase and consumption knowledge and experience that they apply to future related behaviour.

12.2 Concept and Characteristics

- Learning is a **continuous process**: knowledge keeps changing with new information and experience.
- It produces a **relatively permanent change** in behaviour (temporary changes due to fatigue or drugs are not learning).
- It results from **experience, practice, observation or information**.
- It may be **intentional** (searching for information) or **incidental** (picking up brand names from ads).
- It involves **basic elements**: motives (drives), cues, responses and reinforcement.
- It may be **conscious or unconscious**.

12.3 Elements of Learning

- **Motive (drive)**: unfulfilled need that creates tension.
- **Cues**: stimuli that suggest a direction for the motive (an ad, a shop display, a friend's remark).
- **Response**: the reaction of the individual (buying or not buying).
- **Reinforcement**: reward that strengthens the response and makes it likely to be repeated.

12.4 Relationship with Consumer Behaviour

- **Most consumer behaviour is learned**: brand preferences, tastes, shopping habits and attitudes.
- **Brand loyalty** is the result of repeated satisfying experiences (positive reinforcement).
- **Habit and routine buying** come from learning.
- **Advertising works through learning**: repetition and association create awareness and preference.
- Learning builds **brand knowledge** in memory and drives later search and choice.
- **Consumer socialisation**: children learn to be consumers from family, peers and media.
- Learning affects **attitude formation and change**.
- **Involvement**: high involvement means active, thoughtful learning; low involvement means passive learning through repetition.

13 Theories of Learning

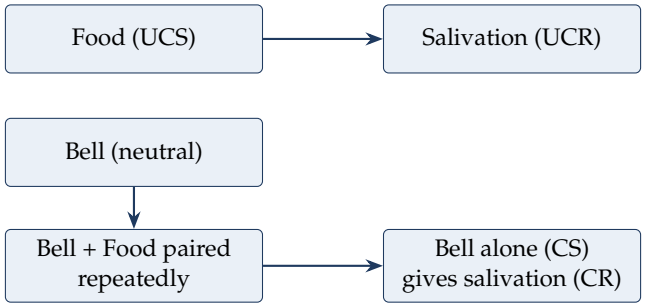
Group	Theories	Learning is…
Behavioural theories	Classical conditioning; cognitive associative (trial and error); operant conditioning	a connection between stimuli and responses
Social learning theory	Observational learning	learning by watching others
Cognitive theories	Information processing; insight; social cognitive; cognitive behavioural; constructivism	mental processing and understanding

13.1 A. Behavioural Learning Theory

Behavioural theories view learning as a **response to external events (stimuli)**. They study observable behaviour and do not focus on what happens in the mind. Learning occurs when a *connection* is formed between a stimulus and a response. Three main forms follow.

1. Classical Conditioning (Stimulus–Response)

Ivan Pavlov, a Russian physiologist, showed that a neutral stimulus paired repeatedly with a stimulus that naturally causes a response will itself come to cause that response.



Terms: *UCS* (unconditioned stimulus), *UCR* (unconditioned response), *CS* (conditioned stimulus), *CR* (conditioned response).

Principles

- **Acquisition**: the link is formed through repeated pairing.
- **Repetition**: increases strength but too much causes *advertising wear-out*.
- **Stimulus generalisation**: similar stimuli bring a similar response (me-too products, brand extensions, family branding, look-alike packaging).
- **Stimulus discrimination**: consumers learn to distinguish one stimulus from similar ones (differentiation and positioning).
- **Extinction**: the response fades when the pairing stops.

Marketing applications

- Pairing a brand with **pleasant music, celebrities or happy scenes**, so that the brand alone brings positive feelings.

- **Jingles and slogans** repeated over time.
- **Brand extensions** and **family branding** that use generalisation.

2. Cognitive Associative Learning (Memory and Trial-and-Error Based)

Learning occurs through **associations formed in memory** between ideas, brands and experiences, and through **trial and error**.

- **Thorndike's Law of Effect**: responses followed by satisfaction are strengthened (stamped in); those followed by discomfort are weakened (stamped out). Learning is a gradual result of trying, failing and trying again.
- **Associative networks**: concepts are stored as linked nodes; recalling one brings up related ideas (a colour, a slogan, a feeling).
- **Trial-and-error in buying**: a consumer tries several brands, rejects unsatisfactory ones and keeps the one that works.

Marketing applications: free samples and trial packs to start learning; consistent brand cues (colours, logos) to build strong associations; easy trial through low-priced small packs.

3. Operant (Instrumental) Conditioning (Result and Reinforcement Based)

B. F. Skinner showed that behaviour is shaped by its **consequences**. Behaviour that is rewarded is repeated; behaviour that is punished or ignored declines.

Consequence	Meaning	Consumer example
Positive reinforcement	A pleasant result follows the behaviour	Good service, a gift, reward points, a delicious meal
Negative reinforcement	An unpleasant condition is removed	A pain-relief tablet removes pain; so it is bought again
Punishment	An unpleasant result follows	A bad purchase experience reduces repeat buying
Extinction	Reinforcement stops and the behaviour fades	Loyalty rewards removed; customers drift away

Reinforcement schedules

- **Continuous**: reward after every response; learning is fast but fades quickly when it stops.
- **Fixed ratio**: reward after a fixed number of responses ("buy 10, get 1 free").
- **Variable ratio**: reward after an unpredictable number of responses (lucky draws, scratch cards); strong, lasting behaviour.
- **Fixed interval**: reward after a fixed time (monthly bonus).
- **Variable interval**: reward at unpredictable times (surprise offers).

Shaping: reward successive steps towards the desired behaviour (a free sample, then a discount on first purchase, then a loyalty card).

Marketing applications: loyalty programmes, rewards and cashback, after-sales service, satisfaction guarantees, surprise gifts, discount coupons to encourage trial and repeat.

Classical vs. Operant Conditioning

Basis	Classical	Operant
Founder	Pavlov	Skinner (and Thorndike)
Learning by	Association between stimuli	Consequences of behaviour
Consumer role	Passive: responds to stimulus	Active: behaves to get a result
Key idea	Neutral stimulus acquires meaning	Reward strengthens behaviour
Marketing use	Jingles, celebrity pairing, brand feelings	Loyalty rewards, trials, guarantees

13.2 B. Social Learning Theory

Albert Bandura said people can learn **without direct experience**, by observing others (**models**) and seeing the results of their behaviour.

Processes

1. **Attention**: the learner notices the model.
2. **Retention**: the behaviour is remembered.
3. **Reproduction**: the learner is able to copy it.
4. **Motivation**: the learner expects a reward (vicarious reinforcement: seeing the model rewarded).

Marketing applications: celebrity and influencer endorsements; "slice of life" ads; demonstrations; user videos and reviews; children copying parents and peers.

13.3 C. Cognitive Theories

Cognitive theories regard learning as an **internal mental process**: thinking, understanding, problem solving and using information, not just reacting to stimuli.

- **Information processing**: consumers take in, store and use information in stages (exposure, attention, comprehension, acceptance, retention). Learning depends on the *amount* and *quality* of processing and on the person's involvement.
- **Insight learning (Kohler)**: sudden understanding of a problem and solution.
- **Latent learning**: knowledge gained without immediate reward, which appears later when needed (remembering a brand heard in an ad).
- **Involvement**: high involvement leads to active reasoning; low involvement leads to passive learning through repetition.

Marketing applications: informative ads, product comparisons, demonstrations, and tutorials for complex products; repetition for low-involvement goods.

Social Cognitive Theory

Bandura's later theory combines social learning and cognition. Key ideas:

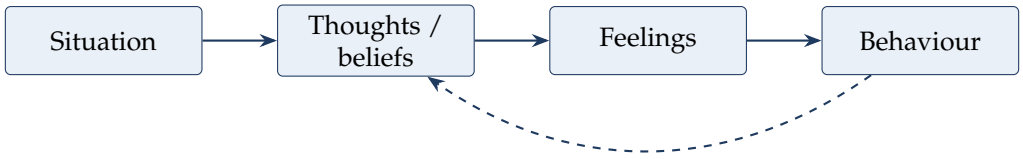
- **Triadic reciprocal determinism**: the person (thoughts, beliefs), the behaviour and the environment all influence one another.

- **Observational learning** with attention to models and mental rehearsal.
- **Self-efficacy**: belief in one's ability to perform a behaviour influences whether the consumer attempts it.
- **Outcome expectations**: beliefs about what the behaviour will bring.
- **Self-regulation**: setting goals and monitoring one's own behaviour.

Marketing applications: messages that build confidence (easy-to-use products, tutorials); role models; goal tracking in health and fitness apps; social media communities.

Cognitive Behavioural Theory

Cognitive behavioural theory (from Beck and Ellis) holds that **thoughts, feelings and behaviour are linked**: what people think about a situation shapes how they feel and act. Changing unhelpful thoughts can change behaviour.



Consumer relevance: explains impulsive buying, anxiety about purchases and compulsive habits; useful in changing harmful consumption (smoking, overspending) by changing beliefs and building new habits; used in social marketing and health campaigns.

Constructivism

Constructivism holds that learners **actively build their own knowledge and meaning** from experience, rather than just receiving information. New information is linked to what is already known.

- **Jean Piaget**: learning through *assimilation* (fitting new information into existing ideas) and *accommodation* (changing ideas to fit new information).
- **Lev Vygotsky**: learning is social; the *zone of proximal development* is what a learner can do with guidance but not yet alone. Support (scaffolding) helps.
- **Jerome Bruner**: discovery learning.

Consumer relevance: consumers interpret brands through their own experiences and culture, so the same ad produces different meanings; learning grows through hands-on trial, co-creation and brand communities; marketers provide tutorials, demos, forums and step-by-step guidance for new technology.

13.4 Comparison of Learning Theories

Theory	Learning happens through	Typical marketing tool
Classical conditioning	Association of stimuli	Jingles, celebrity pairing
Cognitive associative	Trial and error; memory links	Samples, trial packs, consistent cues
Operant conditioning	Reward and punishment	Loyalty points, discounts, guarantees
Social learning	Observing models	Endorsements, testimonials
Cognitive (information processing)	Thinking and understanding	Informative ads, comparisons
Social cognitive	Person–behaviour–environment interaction, self-efficacy	Confidence-building messages, communities
Cognitive behavioural	Changing thoughts to change behaviour	Social marketing, habit change
Constructivism	Building meaning from experience	Demos, tutorials, co-creation

Exam Tip

For a long answer on learning, group theories as **behavioural** (classical, trial and error, operant), **social**, and **cognitive** (information processing, social cognitive, CBT, constructivism). Give one marketing example for each.

14 Quick Revision Summary

Topic	One-line recall
Motivation	Need → tension → behaviour → goal; arousal: physiological, emotional, cognitive, environmental
Maslow	Physiological, safety, social, esteem, self-actualisation
Alderfer	Existence, relatedness, growth; regression possible
Herzberg	Hygiene prevent dissatisfaction; motivators create satisfaction
McClelland	Achievement, power, affiliation
McGregor	Theory X (control) vs. Theory Y (trust)
Vroom	Valence × expectancy × instrumentality
Porter–Lawler	Effort, performance, rewards, satisfaction; fair rewards
Freud (motivation)	Unconscious motives; id, ego, superego
Personality	Consistent, enduring individual differences; shaped by heredity and environment
Personality theories	Self-concept, psychoanalytic, neo-Freudian, trait, humanistic, social-cognitive
Measurement	Self-report inventories, projective tests, interviews, observation
Perception	Select, organise, interpret; exposure, attention, organisation, interpretation, retention
Elements	Sensation, thresholds (absolute, JND, Weber), perceptual biases
Sensory dynamics	Sight, sound, touch, smell, taste
Barriers	Selective attention, perceptual defence, clutter, habituation
Decision-making	Perceived quality, price, risk and advertising
Perceptual mapping	Brands plotted on attributes; shows gaps and competitors
Subliminal perception	Below threshold; little evidence; ethically doubtful
Imagery	Product, brand, price, store, corporate and country images
Learning	Relatively permanent change in behaviour from experience
Learning theories	Classical, cognitive associative, operant, social, cognitive, social cognitive, CBT, constructivism